

There were hour-long classes in various aspects of stocks and bonds that I would have mentioned earlier, except inserting them as an afterthought gives you a better idea of their relative importance as against, say, sales.

The purpose of the classes was to put the new broker at least one step ahead of the customers he would soon serve. I sat in on two or three of them, including one on municipal bonds, another on the various ways Merrill Lynch could lend money ("We're going after the banks," said a representative named Mr. Humm), and a third on whether the stock market would go up or down. This last was actually a tape-recorded lecture from Mr. Robert Farrell, Merrill Lynch's star technical analyst. His lesson on "contra-cyclicals and defensive stocks" created as much confusion as it resolved. Some in the audience worried that in three days they'd have their own desks at local offices and people would be asking them if the stock market was going up or down, and what would they say?

In a final class, the teacher asked how many of the new brokers felt qualified to recommend any stock and not one of them raised a hand. He reassured them that they had a terrific firm behind them, and that Merrill Lynch would provide all the guidance and good ideas they needed. Then he showed an inspirational documentary film in which some very nice joggers lead a blind man through a cross-country race, up and down rocks, across fields and around trees, the blind man stumbling along and then triumphantly crossing the finish line. To me, this was an appropriate way to end the session.

To be honest, these recruits didn't expect to be selling much stock, as compared to unit trusts, corporate bonds, limited partnerships, foreign investments, 1,700 varieties of mutual funds, some options, annuities, money-market instruments, plus the various "products of the week" that brokerage firms now promote. To date, Merrill Lynch was offering 150 different products, and half of them were invented in the last five years. The trainees were encouraged to get their real estate licenses and insurance licenses to further expand their product line. They were further encouraged to take a Merrill Lynch self-study course, called the "Donald Regan School," after which they'd be certified as financial planners. (The White House advisor for whom this course was named has since